LEARNING CENTRE

LIFE INSURANCE, HOW MUCH IS ENOUGH?

Here are some guidelines to help you figure out the amount your family will need to be financially secure when you're gone

Your life is invaluable and, if not, difficult. It is nearly impossible to put a financial value on your life. The amount of life insurance you need depends on your unique situation: the number of financial dependants you have, your current net worth, the debt you service and many other factors. But there are some guidelines to help you figure out how much life insurance you need to ensure your family will be financially secure when you're gone.



Illustration by SIDDHANT JUMDE

There are several thumb rules on how much insurance cover you need, which ranges from 10 times your annual income to an arbitrary figure of Rs 1 crore as insurance cover. But every individual situation is different and should be examined as such. Almost every life insurance company's website has a needs calculator based on an income replacement or expense replacement formula. The income replacement formula is one based on multiplying your annual income with the number of years for which you want the income to be created for your family in case of your death.

The expense replacement formula is based on the household expenses and expenses towards future financial goals that you anticipate. You then take a life insurance cover that adds up to this value of expenses that need to be met. Both income and expense replacement methods include factors such as inflation while arriving at the final insurance figure. While income replacement is suitable at a younger age, expense replacement may suit individuals in their 40s and later.

Both these approaches are not a one-time exercise and need to be reviewed once every few years or whenever any of the factors on which the calculation was arrived at change. For instance, as your family circumstances change—such as the birth of children or the need to support parents or siblings or increase in income or change in future financial needs or increase in debts etc., you need to revisit your life insurance needs. There is another way—the DIE approach—which addresses debt, income and education needs.

The DIE approach is a good starting point to determine your life insurance requirements. But like the other two approaches, even this ignores your existing financial resources and the cost of services that a homemaker provides for free. While you may never get a perfect figure for the life insurance you need, do remember that life insurance is not something you buy for yourself. You buy it for the benefit of others. If you are inadequately insured, your family runs the risk of facing a difficult future in your absence. ■

–Narayan Krishnamurthy

SAMPLE LIFE INSURANCE CALCULATOR

DEBT: How much debt would you want to leave your family with? This could include home loan, credit card outstanding or any debt that isn't written off at death	**Home loan:** Rs 50 lakh **Car loan:** Rs 5 lakh **Avg. card outstanding:** Rs 50,000 **TOTAL:** Rs 55.5 lakh
INCOME: Consider the number of years for which your loved ones would need financial support and then multiply your income by this number	**Annual income:** Rs 15 lakh **Replacement years:** 25 years **TOTAL:** Rs 3.75 crore
EDUCATION: How much will your children need for a college education?	**Per child education:** Rs 30 lakh **TOTAL (for 2 children):** Rs 60 lakh
TOTAL LIFE INSURANCE NEEDED	**Rs 4.9 CRORE**

Next time: How much do you need to retire?